 Name _____

Crocs: Bad Debts in a Real Balance Sheet

Source: Crocs, Inc. Form 10-K, year ended December 31, 2024 (condensed; amounts in thousands) · sec.gov/Archives/edgar/data/1334036/000133403625000009/crox-20241231.htm

Crocs, Inc.
Consolidated Balance Sheet

	Dec 31, 2024
Cash and cash equivalents	$ 180,485
Accounts receivable	289,236
Less: Allowance for doubtful accounts	(31,579)
Accounts receivable, net	257,657
Inventories	356,254
Other current assets	77,873
Total current assets	872,269
Property, goodwill, brands and other	3,939,884
Total assets	$ 4,812,153
Total current liabilities	$ 740,208
Long-term liabilities	2,236,213
Total liabilities	2,976,421
Total stockholders' equity	1,835,732
Total liabilities and equity	$ 4,812,153

Crocs, Inc.
Allowance for Doubtful Accounts

	2024
Balance, Dec 31, 2023	$ 27,591
Add: Bad debt expense (new estimates)	?
Less: Accounts written off	?
Balance, Dec 31, 2024	$ 31,579

BACKGROUND
Crocs sells many of its shoes to retailers and distributors (shoe stores, department stores) on credit. They pay weeks later.

FIND IT IN THE STATEMENTS

Write the amount ($ thousands, or %).

1. In total, how much did customers owe Crocs at year-end? **289,236**
2. How much does Crocs estimate it will never collect? **31,579**
3. How much does Crocs actually expect to collect in cash? **257,657**
4. What percentage of what customers owe does Crocs expect never to collect? **10.9%**
5. Out of every $100 customers owe, about how much does Crocs expect to collect? **$89**
6. By how much did the allowance increase during 2024? **3,988**

HINTS

Accounts receivable
Amounts customers owe for sales made on credit.

Allowance for doubtful accounts
The part of receivables the company *estimates* it will never collect. A contra-asset subtracted from accounts receivable.

Net realizable value
Accounts receivable − allowance = the amount expected to be collected.

Bad debt expense
Recorded when the loss is *estimated* (year-end adjusting entry): Dr Bad debt expense, Cr Allowance.

Write-off
Removing a specific customer's account: Dr Allowance, Cr Accounts receivable. No expense.

Allowance T-account
Beginning + Bad debt expense − Write-offs = Ending.

PRACTICE

7 **Fill in the "?".** Suppose Crocs wrote off **6,000** of customer accounts during 2024. How much bad debt expense did it record?

9,988

27,591 + Expense − 6,000 = 31,579, so Expense = 9,988.

8 **Journal entries.** (a) Record the year-end bad debt estimate from Q7.

ACCOUNT	DEBIT	CREDIT
Bad debt expense	**9,988**	
Allowance for doubtful accounts		**9,988**

(b) A shoe store that owes Crocs **1,500** goes bankrupt. Write off its account.

ACCOUNT	DEBIT	CREDIT
Allowance for doubtful accounts	**1,500**	
Accounts receivable		**1,500**

Effect of entry (b): net income **decreases** / **no change**; accounts receivable, net **decreases** / **no change**

9 **Aging method.** Shoe Wholesale Co. (a smaller, made-up company) ages its receivables at year-end:

AGE	RECEIVABLES	% UNCOLLECTIBLE	ESTIMATED UNCOLLECTIBLE
Not yet due	80,000	1%	**800**
1–90 days past due	15,000	10%	**1,500**
Over 90 days past due	5,000	40%	**2,000**
Required ending allowance	**100,000**		**4,300**

The allowance already has a **credit** balance of 1,100 before adjusting. Bad debt expense = **3,200**

10 **Receivables turnover.** Crocs's 2024 revenue was about **$4,102 million**. Net receivables were $258 million (2024) and $306 million (2023).

Turnover = Revenue ÷ Average net receivables = **14.6 times** Days to collect = 365 ÷ turnover = **25 days**

11 **Compare.** Costco says its allowance for receivables is *immaterial*. Why would Costco have almost no bad debts while Crocs does?

Costco's members pay at the register (cash, debit or credit card), so the card company, not Costco, bears the risk of non-payment. Crocs sells to other businesses on credit.

Crocs's reported "allowances" ($31,579) also include reserves for customer returns and discounts; this worksheet treats the total as the allowance for doubtful accounts. Accounts receivable (gross), other current assets, "property, goodwill, brands and other" and long-term liabilities are derived from reported totals. Q7–Q9 use made-up numbers.